Janet Yellen, the chairperson of the Federal Reserve, interpreted that as ‘not raising rates for at least two meetings’. In the event, the Fed honoured this commitment but it is quite possible that macroeconomic developments could have pushed it to renege on this.

Monetary Policy Documents

Another significant improvement in monetary policy communication that came on my watch was the streamlining of the policy documents. This initiative owes to Subir Gokarn who joined us as deputy governor in charge of economic and monetary policy, in November 2009. Subir told me shortly after coming on board that while the Reserve Bank’s policy documents were rich in analytical content, they needed to be streamlined by way of cutting out overlap and repetition, making the language more direct and simple, and most of all, significantly trimming the length of the documents.

In his prior career as a leading analyst and commentator on India’s macroeconomic policy, Subir was an avid consumer of the Reserve Bank’s policy documents and he spoke from rich personal experience. I wholeheartedly supported the initiative as it was consistent with my goal of extending the outreach of RBI policies. My yardstick was that chief executives in the finance and corporate sectors, who are put off by the language and length of our policy documents and depend instead on summaries prepared by their staff, should now feel encouraged to read the original documents themselves. In addition to changing the style and presentation, we agreed on new standards in terms of length—a maximum of sixty pages for the money macro document and twelve pages for the governor’s policy statement.

My Experiments with Communication

I have already written about my several communication missteps as I traversed a steep learning curve as governor. During the early part of my tenure, while battling the global financial crisis in 2008, I underestimated